Plaintiff concedes the issue of failing to disclose his claims against Defendant in his 2022 bankruptcy action. He asserts this was due to a mistake of counsel or Plaintiff's legitimate good faith ignorance that it should have been disclosed. He also concedes there is an issue of standing in relation to his Chapter 7 bankruptcy. He argues that, instead of JOP, the proper remedy is to allow him to amend his Complaint and allow the bankruptcy trustee to appear as a real party in interest or to plead facts in support of standing.

This case appears controlled by *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995. In *Cloud* similar facts are presented: the defendant Northrop terminated the plaintiff's employment, and the plaintiff filed a Chapter 7 bankruptcy petition. The *Cloud* plaintiff did not disclose any claim or potential claim against Northrop. (*Cloud, supra,* 67 Cal.App.4th at p. 998.) While her bankruptcy action was pending, the plaintiff filed a complaint with Department of Fair Employment and Housing (DFEH). And, after she received her discharge and while her bankruptcy was still pending, the *Cloud* plaintiff filed a wrongful termination and sexual harassment action against Northrup. The plaintiff's bankruptcy case was thereafter closed, and Northrup later brought a motion for judgment on the pleadings because the plaintiff had not scheduled her claims against Northrop as assets of her bankruptcy estate. Northrup raised the standing issue, as well as the judicial estoppel argument. (*Ibid*.)

While the Court of Appeal noted it was not technically proper to consider the plaintiff's declaration, it nonetheless discussed what the plaintiff stated about following her bankruptcy attorney's instruction, not knowing she had a valid claim against Northrop, and the circumstances of her filing. The Court of Appeal reversed the trial court's ruling that granted the motion without leave to amend based on lack of standing and judicial estoppel. It found that, with respect to standing, the trial court should have granted leave to amend because plaintiff could have substituted in the real party in interest, the bankruptcy trustee, or to obtain the trustee's abandonment of the claim. (*Id.* at pp. 1000-1011.)

The *Cloud* court discussed the specific facts and findings in *Ryan Operations G.P. v. Santiam-Midwest Lumber Co.* (3rd Cir. 1996) 81 F.3.d 355, a summary judgment case, and that *Ryan* noted judicial estoppel is an "extraordinary remed[y] to be invoked when a party's inconsistent behavior will otherwise result in a miscarriage of justice." (*Ryan Operations G.P., supra,* 81 F.3d at p. 365.) "It is not meant to be a technical defense for litigants seeking to derail potentially meritorious claims, especially when the alleged inconsistency is insignificant at best and there is no evidence of intent to manipulate or mislead the courts." (*Ibid.*) "Judicial estoppel is not a sword to be wielded by adversaries unless such tactics are necessary to 'secure substantial equity.'" (*Ibid*.)

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16. *Wells Fargo Bank, N.A., v. Sanchez,* Case No. CIVSB2522908
Plaintiff's Motion for Summary Judgment
5/18/26, 9:00 a.m., Dept. S-17

Tentative Rulings

The Court would **GRANT** Plaintiff's motion for summary judgment. The Court would **DENY** Defendant's request to arbitrate in lieu of summary judgment. The Court would further decline to consider Defendant's "objections" due to inability to determine any specific objections because of failure to comply with applicable court rules.

Case Summary

This is a limited collections matter. Plaintiff alleges that it issued Defendant a credit card on which Defendant eventually stopped paying. Plaintiff initiated suit for the outstanding balance on August 8, 2025, alleging causes for (1) breach of written contract and (2) breach of implied-in-fact contract. Defendant answered.

Summary of the Law

Summary judgment is proper where there is no triable issue as to any material fact and the moving party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c(c).) The analysis requires three steps: First, the court must identify of the issues framed within the pleading. (*AARTS Productions, Inc. v. Crocker National Bank* (1986) 179 Cal.App.3d 1061, 1064-1065.) Second, it must determine whether the moving party has established facts sufficient to negate the claim and justify a judgment in movant's favor. (*Ibid.*) Third, and finally, when a summary judgment motion, as a prima facie matter, justifies a judgment, the court must determine whether the opposition demonstrates the existence of a triable issue of material fact. (*Ibid.*)

A motion for summary judgment granted where moving party has not met its burden of showing that the action is without merit "would have to be reversed, *even if the plaintiff failed to introduce a scintilla of evidence challenging that element*." (*Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468 [emphasis in original].) The court's sole function on a motion for summary judgment is issue finding, not issue determination. (*Zavala v. Arce* (1997) 58 Cal.App.4th 915, 926.)

Analysis

The elements of a breach of contract action are the existence of the contract, plaintiff's performance or excuse for nonperformance, defendant's breach, and damages. (*First Commercial Mortgage Co. v. Reece* (2001) 89 Cal.App.4th 731, 745.) For breach of the implied contract, the elements are the same as for breach of written contract, except the contract may be implied from conduct and circumstances showing an intent to promise. (*Friedman v.*

Friedman (1993) 20 Cal.App.4th 876, 887.) The initial question is whether Plaintiff presented evidence establishing each element of the contract claims.

Here, Plaintiff presents evidence that Defendant applied for and was issued a credit card. (Plaint. Undisputed Material Fact (UMF) 1; Qualified Witness (Qual. Wit.) Decl., ¶¶9, 11, 15, Exhs. 1, 2; Lopez Decl., Exhs. 1, 2 (RFA No. 3).) Plaintiff sent Sanchez the credit card and written agreement for the card. (UMF 2, Qual. Wit. Decl., ¶¶10-11, Exh. 1.) Defendant accepted the terms of the written agreement when he used the credit card. (UMF 3, Qual. Wit. Decl., ¶12, Exh. 1.) In exchange for the ability to charge for goods, services, or obtain cash advances on the credit line, Defendant agreed to repay the principal plus interest and finance charges. (UMF 4, 5, Qual. Wit. Decl., ¶14, Exhs. 1, 2.) Thus, Plaintiff sent Defendant the credit card and extended credit to Defendant. (UMF 2, 4, Qual. Wit. Decl., ¶¶10-11,14, Exhs. 1, 2.)

Then Defendant breached. Defendant used the credit card account, made payments and charges, and incurred a balance. (UMF 6, Qual. Wit. Decl., ¶15, Exh. 2.) Defendant's last payment on the account was May 12, 2023. (UMF 11, Qual. Wit. Decl., ¶¶21, 22, Exh. 2.) Defendant made no further payments on the account, putting him in default under the terms of the card agreement. (UMF 12, Qual. Wit. Decl., ¶¶21-22, Exhs. 1, 2.) There was a balance owed on the account. (UMF 13, Qual. Wit. Decl., ¶¶22, 23, Exh. 2.) The damages are the balance unpaid on the credit card. (UMF 14, Qual. Wit. Decl., ¶ 23, Exh. 2.)

While Defendant sets forth an opposition, it relates to irrelevant points such as open book account cause, which has not been pleaded. He further contends[1] there is an issue of material fact as to the existence of a contract, but he cites to an inapposite case and fails to set forth sufficient facts to display the issue. He further posits an affirmative defense related to Regulation Z of the Truth in Lending Act (TILA) but does not supply legal authority that Regulation Z applies here. A point merely asserted without any authority for the proposition is deemed without foundation and requires no discussion. (*Allen v. Smith* (2002) 94 Cal.App.4th 1270, 1281.) Thus, Defendant has not presented a triable issue of material fact.

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[1] It is worth noting that Defendant also failed to supply a separate statement in opposition. Failure to comply with this requirement is grounds, in an of itself, to grant the motion. (Code Civ. Proc., § 437c(b)(3).)